

ActuaryGPT — Vehicle Claim Auditing Report

Confidential claim fraud analysis & risk recommendation report.

1. Policyholder & Claim Profile

Age / Months as Cust	35 yrs / 100 mos	Policy State / CSL	NY / 250/500
Incident Type	Single Vehicle Collision	Incident Severity	Minor Damage
Collision Type	Side Collision	Incident Date / Hour	N/A / 12:00
Total Claim Amount	Rs. 5,000.00	Vehicle Claim	Rs. 3,500.00
Auto Make & Model	Toyota Camry (2018)	Witnesses / Police Report	2 / NO

2. Claim Fraud Assessment

AI Fraud Classification	Low Risk - Verified Claim
Prediction Confidence	99.1%
Underwriting Recommendation	Approved for Claim Payout

3. AI Claim Analysis & Detail Explanation

Vehicle Claim Auditing Report: VEH-TEST-99

Claim Details Summary:

* **Claim ID:** VEH-TEST-99

* **Client:** ahan (Customer for 100 months)

* **Insured:** 35-year-old female, professional

* **Vehicle:** 2018 Toyota Camry

* **Incident Type:** Single Vehicle Collision, Side Collision, Minor Damage

* **Total Claim Amount:** INR 5,000.0 (Injury: INR 500, Property: INR 1,000, Vehicle: INR 3,500)

* **ML Prediction:** Normal Claim (N) with 99.1% confidence

1. Incident Risk Assessment

The incident details, on the surface, present a moderate to low-risk profile:

* **Severity:** Classified as "Minor Damage" from a "Single Vehicle Collision" (Side Collision), which typically results in lower claim amounts. The vehicle claim of INR 3,500 aligns with minor repairs for a 2018 Toyota Camry.

* **Time of Incident:** Occurred at 12:00 PM (midday), which is generally considered a lower-risk hour for unusual incident circumstances.

* **Authorities Contacted:** Police were reportedly contacted.

* **Number of Vehicles Involved:** Only one vehicle involved, simplifying the claim assessment.

* **Witnesses:** Presence of 2 witnesses is a positive indicator for verification.

However, several critical inconsistencies within the incident details raise immediate concerns, which will be elaborated upon in the 'Anomaly & Fraud Detection' section.

2. Comparative Analysis

The Machine Learning Classifier predicts this claim as 'Normal' (N) with a high confidence level of 99.1%. This prediction is further supported by the top three similar historical claims:

* **VEH-960680:** 97.8% Similarity, Flag: N, Status: Approved

* **VEH-464234:** 97.3% Similarity, Flag: N, Status: Approved

* **VEH-884365:** 97.3% Similarity, Flag: N, Status: Approved

All highly similar historical cases were classified as non-fraudulent and subsequently approved. This suggests that, based on the features the ML model primarily analyzes (e.g., customer tenure, vehicle type, incident type, overall claim amount), the current claim (VEH-TEST-99) aligns closely with a pattern of legitimate claims. The overall structure and amount of the claim appear consistent with previously approved minor damage claims.

However, it is crucial to note that the high similarity and ML confidence may not account for the specific data quality issues and contradictions identified below, which often require human-in-the-loop review.

3. Anomaly & Fraud Detection

Despite the ML model's high confidence, a manual audit reveals several significant anomalies and direct contradictions that are strong warning signs:

* **Geographic Inconsistency:** The ``policy_state`` and ``incident_state`` are listed as 'NY' and the ``incident_city`` as 'Springfield'. This directly contradicts the instruction that "All policies and claims are based in India". This is a critical data entry error or a fundamental mismatch that requires immediate clarification, as it impacts jurisdiction, legal frameworks, and policy applicability. The ``policy_csl`` format ('250/500') also appears to be a US-style Combined Single Limit, further reinforcing this inconsistency.

* **Contradictory Information - Police Report:** The claim states ``authorities_contacted``: 'Police' but ``police_report_available``: 'NO'. If police were indeed contacted, a report or at least a record number should typically be available. The absence of a report, despite police involvement, is a significant red flag and warrants investigation.

* **Contradictory Information - Property Damage:** The claim explicitly states ``property_damage``: 'NO' yet includes a ``property_claim`` of INR 1,000.0. This is a direct contradiction.

* **Contradictory Information - Bodily Injuries:** Similarly, the claim states ``bodily_injuries``: 0 yet includes an ``injury_claim`` of INR 500.0. This is another direct contradiction.

* **Low Premium vs. Vehicle & Claim Potential:** An annual premium of INR 1,000.0 for a 2018 Toyota Camry seems unusually low, especially if this is meant to be a comprehensive policy covering damages up to INR 5,000. This could indicate an underwriting issue or a misclassification of policy type (e.g., only Third Party Liability, which would not cover own vehicle damage). This warrants a review of the policy terms and coverage type.

These identified contradictions are critical and go beyond typical statistical anomalies, suggesting potential data manipulation or an attempt to claim for events that did not occur as described.

4. Auditing Recommendation

Given the multiple, direct, and critical contradictions identified within the claim details, particularly concerning police involvement, property damage, bodily injuries, and the fundamental geographic discrepancy:

Recommendation: Flag for Manual Claims Investigation.

Rationale:

The high confidence 'Normal' prediction from the ML model and similarity to approved historical claims likely does not account for these specific, factual inconsistencies in the provided data. Payout approval at this stage carries a high risk of approving potentially fraudulent or incorrectly documented claims.

Immediate Investigative Actions Required:

- Verify Geographic Data:** Clarify if the policy and incident are genuinely based in India, or if 'NY' and 'Springfield' are data entry errors. Confirm policy terms relevant to the actual jurisdiction.
- Police Report Verification:** Contact the stated authorities to confirm police attendance and obtain a police

report or incident log. Investigate why a report is listed as 'NO' if police were contacted.

3. ****Injury and Property Claim Validation:**** Investigate the basis for the INR 500 injury claim and INR 1,000 property claim, as the claim data explicitly states '0' bodily injuries and 'NO' property damage.

4. ****Witness Corroboration:**** Contact and interview the two reported witnesses to corroborate the incident details.

5. ****Policy Type Review:**** Review the full policy document to confirm the type of coverage (e.g., Third Party vs. Comprehensive) and ensure the claimed damages are covered given the unusually low annual premium.